Report

TO

THE PRESIDENT

BY THE

EMERGENCY BOARD

CREATED SEPTEMBER 6, 1951, BY EXECUTIVE ORDER 10285 PURSUANT TO SECTION 10 OF THE RAILWAY LABOR ACT, AS AMENDED

To investigate and report on certain unadjusted disputes between the Denver & Rio Grande Western Railroad Company, including the Denver & Salt Lake Railroad Company, and certain of its employees represented by the Brotherhood of Locomotive Engineers

(NMB No. A-2608)

DENVER, COLORADO
SEPTEMBER 19, 1951

(No. 95)

LETTER OF TRANSMITTAL

DENVER, COLO., *September 19, 1951.*

THE PRESIDENT,
The White House.

MR. PRESIDENT: The Emergency Board created by you on September 6, 1951, under Section 10 of the Railway Labor Act, as amended, to investigate and report on certain unadjusted disputes between the Denver and Rio Grande Railroad Company, including the Denver and Salt Lake Railroad Co. and certain of its employees represented by the Brotherhood of Locomotive Engineers has the honor to submit herewith its report and recommendations based upon its investigation of the matter in dispute.

Respectfully submitted.

FRANK P. DOUGLAS, *Chairman.*
ROBERT G. SIMMONS, *Member.*
FRANK M. SWACKER, *Member.*

REPORT TO THE PRESIDENT BY THE EMERGENCY BOARD, APPOINTED SEPTEMBER 6, 1951, PURSUANT TO SECTION 10 OF THE RAILWAY LABOR ACT, AS AMENDED, TO INVESTIGATE AND REPORT ON CERTAIN UNADJUSTED DISPUTES BETWEEN THE DENVER & RIO GRANDE WESTERN RAILROAD CO. INCLUDING THE DENVER & SALT LAKE RAILROAD CO., AND CERTAIN OF ITS EMPLOYEES REPRESENTED BY THE BROTHERHOOD OF LOCOMOTIVE ENGINEERS

Under date of September 6, 1951, the President of the United States by Executive Order No. 10285 created an Emergency Board pursuant to section 10 of the Railway Labor Act, as amended, to investigate and report on certain unadjusted disputes between the Denver & Rio Grande Western Railroad Co. including the Denver & Salt Lake Railroad Co. and certain of its employees represented by the Brotherhood of Locomotive Engineers. Pursuant thereto the President designated as members of said Board Frank P. Douglass, Chairman, Robert G. Simmons, and Frank M. Swacker.

As thus constituted the Board met at Room 711, Central Bank Building, 1108 Fifteenth Street, Denver, Colo., at 9:30 a. m., September 10, 1951. It approved the designation of Johnston & King as reporters. The appearances were as follows:

For the Brotherhood of Locomotive Engineers: Clifford D. O'Brien, Esq., and Solomon Sachs, Esq., counsel; A. F. Kummer, assistant grand chief engineer, Brotherhood of Locomotive Engineers; J. R. Birrell, chairman, general committee of adjustment, Brotherhood of Locomotive Engineers.

For the Denver & Rio Grande Western Railroad Co., including the Denver & Salt Lake Railroad Co.: H. M. Boyle, Esq., counsel; E. B. Herdman, manager of personnel, Denver & Rio Grande Western Railroad Co.; B. J. Schorr, assistant to manager of personnel, Denver & Rio Grande Western Railroad Co.

Public hearings were held from day to day thereafter. The Executive order instituting the Board is as follows:

EXECUTIVE ORDER NO. 10285

CREATING AN EMERGENCY BOARD TO INVESTIGATE A DISPUTE BETWEEN THE DENVER & RIO GRANDE WESTERN RAILROAD CO., INCLUDING THE DENVER & SALT LAKE RAILROAD CO., OPERATED BY THE SECRETARY OF THE ARMY, AND CERTAIN WORKERS

Whereas a dispute exists between the Denver & Rio Grande Western Railroad Company, including the Denver & Salt Lake Railroad Company, a carrier under

Federal management, and certain workers represented by the Brotherhood of Locomotive Engineers, a labor organization; and

Whereas by Executive Order No. 10155 of August 25, 1950, possession, control, and operation of the transportation system owned or operated by the said carrier, together with the transportation systems owned or operated by certain other carriers, were assumed by the President, through the Secretary of the Army; and

Whereas the said dispute has not heretofore been adjusted under the provisions of the Railway Labor Act, as amended; and

Whereas this dispute threatens, in the judgment of the National Mediation Board, substantially to interrupt interstate commerce to a degree such as to deprive a section of the country of essential transportation service, and also threatens to interfere with the operation by the Secretary of the Army of transportation systems taken pursuant to the said Executive Order No. 10155;

Now, therefore, by virtue of the authority vested in me by the Constitution and the laws of the United States, including section 10 of the Railway Labor Act, as amended (45 U. S. C. 160), and subject to the provisions of that section, I hereby create a board of three members, to be appointed by me, to investigate the said dispute. Nothing in this order shall be construed to derogate from the authority of the Secretary of the Army under the said Executive Order No. 10155.

The Board shall report its findings to the President with respect to the said dispute within thirty days from the date of this order.

In performing its functions under this order the Board shall comply with the requirements of Section 502 of the Defense Production Act of 1950, as amended.

HARRY S. TRUMAN.

THE WHITE HOUSE,
September 6, 1951

The disputes concern:

1. Mileage limitations.

2. Promotion rules, to be incorporated in the schedule of working conditions in the course of preparation between the parties.

Representation of the engineers on this property has vaccilated between the Brotherhood of Locomotive Engineers (hereinafter sometimes referred to as the engineers) and the Brotherhood of Locomotive Firemen and Enginemen (hereinafter sometimes referred to as the firemen). In 1950 the engineers regained representation from the firemen and instituted a request for a revision of the schedule of wages and working conditions then subsisting between the carrier and the firemen covering all the engine crafts; i. e., engineers, firemen, helpers, hostlers, and hostler helpers. The objective was to separate the engineer craft from the others and in effect make a separate individual contract covering them. The parties negotiated numerous changes reaching agreement on all (some 80 clauses) except 3, 2 of which are the subject of the dispute which eventuated in the creation of this Board.

1. *Mileage limitations.*—Mileage limitations, the primary subject of dispute, have been a much vexed question in the industry for several decades not only between the carriers and their employees but more so between the engineer and fireman crafts.

The object of mileage limitations is to regulate the working list; that is, the number of men to be employed as engineers at a given time. Such regulations subsist with each of the other running crafts; i. e., firemen, conductors, and trainmen. They consist in maximum and minimum limits of miles employees will be worked in the course of a month. When such limit; that is, the maximum is reached by the average engineer, the working list will be increased, generally by additions from the ranks of the firemen of such as have been qualified, or by the employment of what are known as hired engineers; i. e., ones who have theretofore acquired the status of engineer on some other carrier.

Also, when an individual engineer has reached the maximum limit he will be required to lay off the balance of the month. When the average mileage of the engineers has dropped below the minimum figure then a sufficient number of engineers will be removed from the working list so that the average will exceed such minimum. As substantially all the engineers come up from the ranks of firemen, where under the rules of the fireman agreement they retain seniority, they fall back into the firing occupation taking such position there as their seniority in that craft entitles them to. The rules also provide that when an engineer is "hired" he will be given a seniority date on the fireman roster as of his date of employment as engineer so that he, likewise, if cut off the engineer working list, will gravitate back to the firing ranks. This flow and ebb from the one occupation to the other is occasioned by the fluctuations in the volume of business of the carrier. When the volume of business may increase it becomes necessary to augment the working list of engineers. The so-called demoted ones are recalled when the average mileage of those working has reached a certain point above the prescribed minimum. Stated very simply, the objective of the arrangement is to have a working list of engineers sufficiently large to handle the volume of traffic existing at a given time with reasonable dispatch, on the one hand, and, on the other hand, to restrict the list to such a point as will enable those working to make a reasonable living. It will thus be seen that both carrier and employee have a mutual interest in the matter, the carrier in the matter of having a sufficiency of engineers and the employees in restricting the list to the extent that it will not be so overcrowded as to result in the more junior man being unable to make a reasonable living. There are other objectives involved but the foregoing will suffice for the purpose of this discussion.

For at least a half a century management and employees have recognized their mutual concern in the subject matter. Most road service under the dual basis of pay system is paid for on a mileage basis. A very large majority of the tonnage handled is moved in what is known as chain gang or pool service; that is, on a first-in first-out basis

rather than a strict seniority. Seniority is exercised in choosing placement into a given pool but once in a pool the group work turnabout first in, first out.

The purpose of requiring an engineer to lay off when he has reached his maximum mileage in a month is in order to allow other engineers in the pool who have not, to divide the remainder of the work so as more equitably to distribute it in the group and thus stabilize the earnings of the individual. Up to a certain point the same considerations concerning mileage limitations that affect the engineers are likewise present as to the firemen. However, at that point their interests diverge and ultimately sharply conflict. While the same principles apply within the fireman craft the respective interests of the craft sharply diverge so far as the fireman's concern as to what the engineer's limits shall, in fact, be. The engineers have no particular interest in the fireman's limits, but the firemen have a keen interest in what the engineer's limits may be. It is obvious that the higher the engineer's maximum limits are the more restricted are the chances for promotion from fireman to engineer, and, likewise, the higher the engineer's minimum the more will engineers be demoted back into firing ranks with high seniority thus restricting firemen employment. In addition to that the policies of the two organizations are in direct and sharp conflict. It is the engineers' policy to have as few jobs at high pay as possible. It, of course, results in retarding the advance of firemen. On the other hand, the firemen while, of course, aspiring to high pay do not attempt to restrict their number to the same extent as the engineers do. The firemen, of course, serve as the recruiting force, and, therefore, naturally would have a large number of part-time workers.

The two organizations have for many years tried to harmonize their interest and to that end entered into what is known as the Chicago joint agreement between them May 17, 1913, which was revised May 4, 1918, May 1, 1923, and finally abrogated by the engineers in 1927. One of the principal objects of that agreement was to harmonize as far as possible these differences so as to establish equitable working limits as between the two organizations. The adoption of the basis reached in that agreement into carrier organization schedules followed very rapidly and became Nation-wide. Notwithstanding the abrogation of the agreement as between the two organizations the major features of the plan still subsist in the agreements between the carriers and organizations throughout the country although the specific mileage figures have been increased from time to time in conformity with the general increase in train speed. The situation, therefore, is that it has now become the common or "standard" rule throughout the industry that the maximum mileage in passenger service is 4,800 miles

per month and the minimum 4,000 miles per month; in pool, chain gang, and assigned service, paying freight rates the maximum 3,800, the minimum 3,200; road extras 3,800 maximum, 3,000 minimum. Yard service extra, maximum 3,500 miles, minimum 3,000 miles (hours equated to miles at 100 miles per 8 hours, overtime computed at 8 hours equals 150 miles). Yard service assigned, maximum 3,500, no minimum (controlled by assignment rules). The foregoing is a very abbreviated description of the plan of regulating mileage but is sufficient for background to explain the present dispute.

Under the current agreement the mileage limitations of this carrier are substandard in certain respects. The dispute here is primarily over an effort on the part of the engineers to bring the substandard mileages up to standard.

There are subordinate disputes concerning the mechanics of regulating the mileages. The principal of these is a request on the part of the engineers for a provision permitting the augmentation of the working list only after those working have reached the maximum on the average; this as opposed to the carrier's position that augmentation should be permitted if desired midway between the maximum and minimum, thus to allow greater latitude in taking care of sudden fluctuations in business. Another is a request to change from semimonthly to trimonthly the periods for checking mileages with a view to regulating them as occasioned by demand.

Another request of the engineers, their proposed rule 55 (f) reading:

LIMITING NUMBER OF MEN IN SERVICE

No more men will be employed in the service than are necessary to move the traffic with promptness and dispatch. The number constituting a surplus to be determined by the division Master Mechanic and a committee representing the Brotherhood of Locomotive Engineers. Business not to be delayed to get the conference referred to. Prompt action will be taken and adjustment made afterwards. If adjustment changes are required under this Rule, such will be made with reference to seniority rights.

Dealing with this last first, the proposed rule appears to be merely a declaration of the policy underlying the limitations, and in that respect is superfluous. Insofar as it attempts to make other provisions it is in conflict with other proposals and would tend on the whole to create confusion rather than permit the express provisions of the agreement to regulate mileage automatically. We, therefore, recommend against its adoption.

As to the subnormal mileage limits now in effect, the most serious opposition the carrier offers with respect to those proposed is that they will differ from those left remaining in existence so far as the fireman is concerned. We see no necessary relation (although per-

haps practical reasons) requiring that the mileages be the same for the engineers and firemen, although it is a fact that in the standard rules they are universally the same. If the carrier finds that difficulty results from having different mileages, the remedy is in its hands to change the firemen's agreement to conform to the standard rather than hold the engineers' limits to substandard. While the firemen have an economic interest in trying to hold the engineer limits down, they, of course, have no legal interest in the matter and the engineers should not be denied a reasonable request because of any consideration of economic interest on the part of the firemen. The carrier does not state that it is denying the engineers' request solely on that account, although it apparently gives much weight to anticipation of trouble with the firemen should it grant the engineers' request. Incidentally, its own policies and interest to a considerable extent coincide with that of the firemen in that the carrier desires to keep as large a reservoir of manpower available to it as may be possible, and to that end consider that in making more favorable the firemen's lot it will encourage recruitment.

We see no reason why the engineers are not entitled to the mileages deemed reasonable on the great majority of other railroads. Furthermore, in the light of present considerations concerning conservations of manpower, the engineers' proposal is high in the public interest, whereas, the attitude of the carrier and firemen in that respect are the opposite. We, therefore, recommend that the carrier accede to so much of the engineers' demand as calls for the establishment of the standard maxima and minima in the various classes of service on this carrier. As above indicated, there is no question concerning passenger service where the mileages are the same as standard.

The regulating of the mileage is now very largely in the hands of the local chairman who in conjunction with the designee of the management adjusts it from time to time as the statistics indicate to be necessary. The present system, trimonthly, semimonthly, or monthly check has been working satisfactorily for many years, and we see no reason why it should be changed. We, therefore, recommend against the proposed change to trimonthly. We also consider that the carrier should have some leeway for the augmentation when deemed advisable of the working list somewhere midway between the minimum and maximum rather than only at the maximum.

Another minor disagreement is over the suggestion of the engineers that mileage made by emergency engineers under certain circumstances should not be counted in computing the averages. We see no reason why it should be. Of course, in order to obtain the true average it would be necessary to count a fractional man for the period

of time he may have worked during the period under review, and the result would be the same.

The rules in the current agreement covering computing maximum mileage in the case of combined service should be continued.

With these basic recommendations we are confident the parties can work out the details of the mechanics without the necessity of our attempting to write an entire set of rules.

2. *The promotion rule.*—As indicated earlier, and we think the less important point of dispute between the parties results from the promotion rule. The engineers propose that a fireman having been qualified receive a seniority date as engineer only upon his performing service as such, providing there is no engineer back firing or laid off at the time. Under this proposal he might and probably would make a number of trips and wait 4 or 5 years before acquiring seniority as an engineer. Under the present system and existing practice he acquires seniority as an engineer immediately upon qualifying. This rule was first written into the contract in 1949, at the time representation was held by the firemen and is unique so far as other carriers are concerned with one exception; i. e., that the three Texas lines of the Southern Pacific (negotiated January 1, 1950), which have a like provision. The Chicago agreement and the general standard is the same as that requested by the engineers. Although as above stated the present rule was only written into the contract in 1949, the fact of the matter is that in actual practice the plan represented by the rule was in effect on this property since 1923 and has operated smoothly. The departure from the old contract in 1923 occurred by accident when one promoted fireman was given a seniority date counter to the rule, and when the error was discovered, to avoid discrimination between that man and five other firemen who had qualified at the same time, the carrier and the organization together, jointly, agreed to give all six the same seniority date, and that system continued right down to the present time. The change in the rule in 1949 was merely to make it conform to a practice then 26 years old. To now revert to the old rule as requested by the engineers would result in a sharp discrimination as between those firemen last qualified and the group next due to be qualified.

To our notion there is no real substantial difference to either party as to which system is followed; and, consequently, we recommend against making any change.

Conclusion

In conclusion, we therefore recommend that the parties agree upon mileage limitations conformable with the standard ones in effect, to-

gether with the subordinate mechanical regulations above referred to, and that the promotion rule remain unchanged.

Dated at Denver, Colo., this 19th day of September 1951.

Respectfully submitted.

FRANK P. DOUGLASS, *Chairman.*
ROBERT G. SIMMONS, *Member.*
FRANK M. SWACKER, *Member.*

Certification

In conformity with the provisions of section 502 of the Defense Production Act of 1950 as amended, this Board finds and certifies that the effectuation of the changes in working conditions (wages not being in issue or affected) recommended by it for the settlement of the disputes, will not violate, but are consistent with existing efforts and policies of the Government to control inflation.

Denver, Colo., September 19, 1951.

FRANK P. DOUGLASS, *Chairman.*
ROBERT G. SIMMONS, *Member.*
FRANK M. SWACKER, *Member.*

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